

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

**STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.**

OPPOSITION BRIEF OF RESPONDENTS
STERLING CONTAINER LINE LIMITED AND ATLANTIC FORWARDING LTD.

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46 C.F.R. § 515.23(b)
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46 C.F.R. § 545.4
Final Rule, Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (December 17, 2018)

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VS.

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**RESPONDENTS STERLING CONTAINER LINE LIMITED AND ATLANTIC
FORWARDING LTD.'S OPPOSITION BRIEF**

Respondents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Ltd. (“Atlantic,” and together with Sterling “Respondents”), by and through undersigned counsel, hereby submit their brief in opposition (“Opposition Brief”) to the opening brief (“Opening Brief”) of Complainant SeaFair USA LLC (“Complainant” or “SeaFair”).

I. INTRODUCTION AND STATEMENT OF CASE

SeaFair filed its Verified Initial Complaint against Respondents on December 15, 2022, purporting to allege various violations of the Shipping Act by the Respondents and seeking reparations in the sum of \$335,953.52 (plus interest and attorneys fees). (*See* Dkt. Doc. No. 1, “Complaint” at ¶ 32). However, in reality SeaFair’s claims were breach of contract claims couched in vague Shipping Act allegations, and sought unwarranted reparations that were mischaracterized from the outset of this litigation. SeaFair’s initial characterization of its claimed damages included the following, neither of which would possibly relate to Shipping Act violations: (i) \$14,420.00 in document turnover fees owed by Respondents to SeaFair for services rendered; and (ii)

\$321,533.52 that SeaFair purportedly paid in “out of pocket destination charges on behalf of Respondents.” (Complaint at ¶ 15). However, SeaFair’s Opening Brief (and the FMC’s Order in response to SeaFair’s unsuccessful attempt to amend its Complaint in late June 2023) confirms that its initial characterization of purported damages was inaccurately portrayed. Such damages are not related to Shipping Act violations. In reality, the large bulk of SeaFair’s current claims are focused on certain outstanding invoices issued to SeaFair by non-party Mediterranean Shipping Company, S.A. (“MSC”). (See Dkt. Doc. No. 24, Opening Brief, SeaFair Proposed Finding Of Fact ¶ 18; *see generally* Complainant’s Appendix 10). Moreover, neither SeaFair’s Complaint nor its Opening Brief properly allege, prove, or evidence Shipping Act violations on the part of the Respondents, and SeaFair has failed to meet its burden of establishing that Respondents violated the identified Shipping Act provisions (46 U.S.C. § 41102(a); 46 U.S.C. § 41104(a)(4)(A); 46 U.S.C. § 41104(a)(2)(A); 46 U.S.C. § 41102(c); and 46 C.F.R. § 545.4).

In terms of reparations requested by SeaFair, as a threshold matter, Respondents never contested the fact that they owed SeaFair document turnover fees in the amount of \$14,420.00 for previous services rendered. (See Dkt. Doc. No. 5, Respondents’ Verified Answer and Defenses to Complaint at ¶ 14 and ¶ 18). Accordingly, Respondents made the requested payment of \$14,420 to SeaFair on August 28, 2023. (R-PFF 36). While SeaFair has not shown that violations of the Shipping Act by the Respondents caused these outstanding fees, any requests for FMC-ordered reparations with respect to such document turnover fees are moot.

With respect to SeaFair’s initial request for reparations in the amount of \$321,533.52 in destination charges paid by SeaFair in “out of pocket destination charges on behalf of Respondents,” (Complaint at ¶ 15 and ¶ 32), SeaFair’s Opening Brief notably omits and abandons those previous claims. SeaFair’s abandonment of this claim is due to the fact that it simply was

not accurate. SeaFair did not pay out of pocket destination charges on behalf of Respondents, and now characterizes these damages in its Opening Brief as \$294,283.88 in unpaid destination charges that SeaFair has been invoiced by non-party MSC. (Opening Brief, SeaFair Proposed Finding Of Fact ¶ 17-18). SeaFair has also added in its Opening Brief, for the first time in this litigation, allegations regarding certain bank fees SeaFair incurred that it terms “Carrier Processing Charge/Fees” or “CPC” in the amount of \$18,090.00. (Opening Brief, SeaFair Proposed Finding Of Fact ¶ 10 and ¶ 17).

The crux of SeaFair’s Complaint is that Respondents engaged SeaFair to act as a destination agent and provide destination agent services in connection with certain shipping activity beginning in 2021. For the document turnover services provided, SeaFair’s compensation was \$55 per bill of lading. (Opening Brief, SeaFair Proposed Finding Of Fact ¶ 9). In terms of SeaFair’s destination services, part of SeaFair’s obligation and responsibility as destination agent was to independently coordinate services at destination and collect certain destination charges from third-parties (*e.g.*, consignees and their forwarding agents) associated with the shipments issued under MSC master bills of lading and Sterling house bills of lading. (Opening Brief, SeaFair Proposed Finding Of Fact ¶ 10; *See generally*, Complainant’s Appendices 12, 13, 19).

SeaFair’s allegations do not amount to judiciable Shipping Act claims; they are, at best, breach of contract claims. As will be discussed herein, (i) SeaFair generally failed to collect these charges itself from liable third-parties due to disorganized billing and collection processes; (ii) SeaFair was subsequently invoiced by MSC, a non-party to the instant case, for certain destination charges SeaFair agreed to collect; (iii) SeaFair filed two separate 46 C.F.R. § 515.23(b) claims against Sterling’s surety bond with United States Fire Insurance Company (“USFIC”) in 2022, one of which requested a \$321,533.52 “reimbursement” in destination charges that were “paid by

SeaFair on behalf of Atlantic Forwarding and/or Sterling” (*See* Complainant’s Appendix 8, at SFOB-APP-08-0002); and (iv) SeaFair filed the instant action, which in part alleged that it had paid \$321,533.52 “on behalf of Respondents” “in out of pocket destination charges.” (Complaint at ¶ 15).

SeaFair now requests that the FMC (i) “find Sterling and Atlantic to cease and desist from their unjust and unreasonable practices in violation of” the Shipping Act; (ii) assess a civil penalty on the Respondents of not less than \$25,000 pursuant to 46 U.S.C. § 41107; (iii) order Respondents to cease and desist from engaging in alleged Shipping Act violations; (iv) order Respondents to “settle” non-party MSC’s outstanding invoices to SeaFair; and (v) order Respondents to pay \$14,420.00, plus interest and attorneys fees, to SeaFair in connection with previously owed document turnover fees. (Opening Brief, p. 20-21).

SeaFair’s claims fail and judgment should be entered in favor of Respondents because SeaFair has simply failed to plead or prove the required elements for a finding of any Shipping Act violations by the Respondents and has not met its burden of proof in any portion of its claims. Rather, SeaFair is attempting to stretch inherent breach of contract claims against and requests for contractual indemnification from Respondents under the guise of Shipping Act violation allegations.

Further, because (i) SeaFair has not established violations of the Shipping Act by Respondents; and (ii) its only current claim for reparations that has not otherwise been abandoned concerned outstanding invoices that have since been paid by Respondents to SeaFair, any request for reparations should be deemed moot. Finally, the FMC does not have the jurisdiction to order Respondents’ to “settle” third-party invoices issued to SeaFair (as the damages that any

complainant may be entitled to are limited by what is permitted by the Shipping Act and Commission regulations).

II. PROPOSED FINDINGS OF FACT

Respondents' Responses to Complainant's Proposed Findings of Fact are attached hereto as Supplement No. 1 to Respondents' Opposition Brief and are incorporated by reference herein. SeaFair's Proposed Findings of Fact are cited by "SF-PFF" followed by the corresponding paragraph number. Respondents' Proposed Findings of Fact ("R-PFF") are attached hereto as Supplement No. 2 to Respondents' Opposition Brief, and are incorporated by reference herein.

III. CASE HISTORY AND SUMMARY OF PROPOSED FINDINGS OF FACT

A. The Parties' Relationship

Sterling is a Hong Kong entity that operates as a foreign Non-Vessel Operating Common Carrier ("NVOCC") registered with the Federal Maritime Commission ("FMC") under no. 016481. Atlantic is an ocean transportation intermediary organized under the laws of Switzerland. SeaFair is a Florida company that provides a variety of global supply chain management solutions for its customers, including customs brokerage, freight forwarding, NVOCC services, supply chain management, and related services.

Respondents' business relationship with SeaFair began in or around June 2018, when SeaFair's Managing Director executed Respondents' terms and conditions. (R-PFF 5; Respondents' Appendix 1). In or around May 2021, Respondents engaged SeaFair to act as their destination agent, including to handle certain document turnover and destination services, in the United States for certain pre-paid shipments issued under MSC Master Bills of Lading/Sea Waybills ("MBLs") and Sterling House Bills of Lading ("HBLs") issued by various branch offices

of Atlantic acting as agents of Sterling. (R-PFF 6-7; SF-PFF 7; Complainant's Appendices 12 and 13).

Under Respondents' Terms and Conditions agreed to by SeaFair, all costs after arrival of the vessel on the shipments handled by SeaFair "are for account of the consignee." (R-PFF 15; Respondents' Appendix 1). Neither of the Respondents are identified as the "consignee" on the HBL's identified by SeaFair which form the basis of its claim. (R-PFF 16). Part of SeaFair's obligation and responsibility as destination agent was to independently coordinate services at destination and collect certain destination charges from third-parties (*e.g.*, consignees and their forwarding agents) associated with the shipments issued under MSC MBLs and Sterling HBLs. (SF-PFF 10; *see generally* Complainant's Appendix 19). As compensation, through course of dealing Respondents paid SeaFair \$55 per shipment it handled – described by SeaFair as a "documentation fee" or "document turnover fee." (SF-PFF 9; R-PFF 20).

The MSC MBLs and Sterling HBLs identify the various transaction parties involved in a subject shipment. The MSC MBL's identify the (i) Shipper; (ii) Consignee; (iii) Notify Parties; and (iv) Forwarding Agent. The corresponding Sterling HBLs identify the (i) Carrier; (ii) Shipper; (iii) Consignee; (iv) Notify Party; and (v) Destination Agent. (*See generally* Complainant's Appendices 12 and 13). The parties identified in the MBLs and HBLs are then subject to the terms and conditions applicable to and incorporated in those shipping documents.

For example, SeaFair has identified a list of HBLs and MBLs that form the basis of its claims in Complainant's Appendices 11, 12 and 13.

The majority of HBLs identified in Complainant's Appendix 13 have Sterling identified as the "Carrier" and SeaFair identified as the "Destination Agent." (SF-PFF 27-28). The Shippers and Consignees identified on these HBLs are then third-party customer entities that are involved

with the respective shipments. SeaFair also identifies a list of MSC MBLs in Appendix 11 that correspond to the Sterling HBLs in its Appendix 13, and provides a sample of these MBLs in Appendix 12. (SF-PFF 20-21).

The MSC MBLs generally identify the “Shipper” as various branches of “Atlantic Forwarding (China) Co. Ltd” as “agent of Sterling Container Line.” (SF-PFF 23). Of the twenty MBLs provided as examples by SeaFair in Appendix 12 (which were issued between June and August of 2021), two MBLs identify the Consignee as “SeaFair USA LLC as Agent of Sterling Container Line Limited.” (*See* Appendix 12 at SFOB-APP-12-0002 and SFOB-APP-12-0021). For eighteen MBLs identified in Appendix 12, the Consignee is identified as “SeaFair USA LLC.”¹ (R-PFF 8). For each of these eighteen MBLs, SeaFair is identified as the Consignee and Notify Party, where the applicable point of contact is SeaFair’s Michael Andres (SeaFair’s former Miami Branch Manager). So despite the fact that SeaFair asserts in its Opening Brief that the only Consignee identified in the MSC MBLs in its Appendix 12 is “SeaFair LLC as agent of Sterling Container Line Limited” (*see* Opening Brief at p. 11-12), the documents in Appendix 12 that SeaFair submits and cites in support of its claims say otherwise – again, as only two of the twenty MBL’s identified in Appendix 12 list the Consignee as “SeaFair USA LLC as Agent of Sterling Container Line Limited” and the remainder list the Consignee as “SeaFair USA LLC.” (R-PFF 8).

B. SeaFair Concerns, Employee Turnover, and Billing Practices

Respondents began to take issue with the destination services SeaFair performed soon after May 2021. (R-PFF 10). For example, on July 14, 2021, an email message from a representative for an affiliate of Atlantic was sent to SeaFair’s Michael Andres, Branch Manager, that was critical

¹ *See* Complainant’s Appendix 12 at SFOB-APP-12-0040; SFOB-APP-12-0059; SFOB-APP-12-0078; SFOB-APP-12-0097; SFOB-APP-12-0116; SFOB-APP-12-0135; SFOB-APP-12-0154; SFOB-APP-12-0173; SFOB-APP-12-0192; SFOB-APP-12-0211; SFOB-APP-12-0230; SFOB-APP-12-0249; SFOB-APP-12-0268; SFOB-APP-12-0287; SFOB-APP-12-0306; SFOB-APP-12-0325; SFOB-APP-12-0344; and SFOB-APP-12-0363.

of SeaFair’s services – which included the following statements: (i) “Shipper and consignee absolutely do not want to pay the demurrage costs due to Seafair’s failure to pay MSC on time”; (ii) “we’ve been getting a lot of complaints lately”; (iii) “Customer calls are not answered. Buyers are having a lot of trouble reaching you.”; (iv) “Container releases not done in a timely manner.”; and (v) “Our customers who have problems with their shipments are not adequately assisted.” (*See* Complainant’s Appendix 22, SFOB-APP-22-0002-0003). SeaFair’s Michael Andres (the central SeaFair point of contact listed on multiple MSC MBLs identified by SeaFair in Appendix 12) responded to this message on July 27, 2021, which included the following statements describing SeaFair’s operations:

- “I understand, below is a problem we’ve been experiencing for a very long time in Miami.”
- “We’ve been asking for a long time for additional hires and assistance from our NY office and nothing has been done. Management only reacts when things are falling apart...unfortunately we don’t get to pick who our managers are.”
- “Now that things have gotten increasing busier it’s a disaster every time someone goes on vacation, especially Samuel who is my right hand and works day & night + weekends. My staff and I do the best we can with the very limited resources we have but in terms of changes for improvement my hands are tied until management decides to do something.”
- “...I can’t guarantee the situation will improve completely.”
- “I’m able to afford one person on my team to send the MSC A/N to the consignee but they are having trouble looking for the consignee info...so the process is delayed further.” (R-PFF 11; Complainant’s Appendix 22, SFOB-APP-22-0001-0003).

SeaFair’s internal employee difficulties in Miami, including those described by its Branch Manager Michael Andres, appeared to escalate further in the summer and fall of 2021. In fact, SeaFair ultimately terminated the employment of Mr. Andres, along with two other SeaFair employees identified as Import Coordinators, and in September 2021 SeaFair filed a lawsuit against them in the United States District Court for the Southern District of Florida, alleging a variety of federal and state trade secret violations (*SeaFair USA, LLC v. Michael Andres, Helen*

Madrid, Samuel Salva, Michael Andres CHB, Inc., Case. 1:21-cv-23406 (September 22, 2021)) (R-PFF 12; Respondents' Appendix 2).

Again, each of the 20 MSC MBLs identified by SeaFair in Appendix 12 were issued between June and August of 2021, 18 of which listed Michael Andres as the main SeaFair point of contact. (R-PFF 18). According to the Complaint in SeaFair's civil lawsuit against its own former employees, Michael Andres and two other SeaFair employee Import Coordinators (Helen Madrid and Samuel Salva) resigned from SeaFair on July 30, 2021, and Mr. Andres was formally terminated by SeaFair on August 12, 2021. (R-PFF 12). The facts of SeaFair's internal employee turmoil in July-September 2021 are only relevant here and discussed to highlight the fact that Respondents encountered numerous difficulties with SeaFair personnel soon after the initiation of its destination agent relationship, and that SeaFair's personnel issues may have led to the inconsistent billing, collection, and recordkeeping practices that appeared to have plagued SeaFair in the fall of 2021 and 2022.

For example, SeaFair produced in discovery certain correspondence it has had with third-party consignees regarding outstanding destination charge invoices. A few examples have been included as Respondents' Appendices 6, 9, and 10, and show that often times these consignees and/or their agents were confused by SeaFair's invoices and billing practices – including where they stated they had already paid MSC directly for destination charges, where the SeaFair invoices were produced much later than when the shipments at issue occurred, or where SeaFair did not properly identify the shipments the invoices related too. (R-PFF 17, 18, and 19).

Common issues appear to have included a lack of identifying MBL or container number on the SeaFair invoices (R-PFF 18), identification of SeaFair charges that the consignees paid directly to MSC (R-PFF 17), confusion regarding SeaFair's CPC fees (R-PFF 17), and late or

unclear invoices (R-PFF 19). These were likely among the types of issues SeaFair Branch Manager Michael Andres was concerned about when he highlighted to Atlantic that he could not guarantee the situation at SeaFair would improve in July 2021. (Complainant's Appendix 22, SFOB-APP-22-0002).

C. SeaFair's Claims and Procedural History

i. Surety Claims

On March 1, 2022, SeaFair filed a claim under 46 C.F.R. § 515.23(b) with Sterling's bondholder, USFIC, for \$138,422.00, claiming that Atlantic and Sterling owed SeaFair \$137,632.00 and \$790.00 in attorney's fees (the "First Surety Claim"). (SF-PFF 11; R-PFF 21). Respondents recognized that they did in fact owe SeaFair certain document turnover fees associated with previous destination agent services SeaFair had provided, and on March 9, 2022, Respondents made a payment of \$115,417.05 to SeaFair (the "March 9 Payment") – including \$113,985.50 in certain fees, including documentation fees, owed to SeaFair, and \$1,975.00 in requested attorneys' fees in connection with SeaFair's collection efforts. (R-PFF 22; Respondents' Appendix 3 at RX-APP-03-014 and Respondents' Appendix 4).

However, negotiations between Respondents and SeaFair regarding certain disputed invoices identified in the First Surety Claim continued for several months. (SF-PFF 12; R-PFF 22-24). Respondents were concerned that SeaFair was seeking to pass along invoices that should have in fact been collected by SeaFair and paid by the third-party consignees on the shipments for which SeaFair served as the destination agent. Moreover, as negotiations continued, Respondents identified certain document turnover fee invoices alleged to be due and owing by SeaFair that had already in fact been paid by Respondents (including as part of the March 9 Payment). (*See, e.g.,*

Complainant's Appendix 7 at SFOB-APP-07-001-002; Respondents' Appendix 8 at RX-APPP-08-001 – 002).

For example, in a letter from SeaFair dated August 3, 2022, SeaFair stated that Respondents owed SeaFair \$66,083.50 in connection with outstanding document turnover fee invoices associated with the First Surety Claim (R-PFF 26; Complainant's Appendix 6 at SFOB-APP-06-0008). However, several of the subject invoices had already been addressed and paid for (including as part of the March 9 Payment), which was explained and communicated to SeaFair in a message from Respondents on August 22, 2022 (and later confirmed by SeaFair). (R-PFF 26; Complainant's Appendix 7, SFOB-APP-07-0001-0002; Respondents' Appendix 8 at RX-APPP-08-001 – 002).

In a separate example, SeaFair improperly sought to bill Respondents for an invoice SeaFair failed to collect from a third-party consignee Century Distribution Systems, Inc. (Invoice MIAD048805 for \$3,438.50). (R-PFF 27; Complainant's Appendix 3, SFOB-APP-03-0113). Confused by this invoice from SeaFair, Respondents reached out to Century Distribution Systems, Inc. on August 17, 2022, and Century Distribution Systems, Inc. clarified that SeaFair's invoice should have been directed to it and subsequently paid SeaFair. (Respondents' Appendix 5; Respondents' Appendix 8 at RX-APP-08-002 ("SeaFair USA confirms that it has received the payment of \$3,438.50 from Century Distribution Systems, Inc. and the dispute over this invoice is resolved.")).

Between the beginning of August 2022 and the end of September 2022, once the billing disputes outstanding from the First Surety Claim were further fleshed out, Respondents offered to pay SeaFair \$8,920 in outstanding document turnover fees, even though it was the opinion of Respondents that some of these document turnover fees were invoiced despite the shipments being

terminated. (Complainant's Appendix 7, SFOB-APP-07-0001-0002; Respondents' Appendix 8 at RX-APPP-08-001 – 002).

In SeaFair's letter of August 3, 2022 to Respondents seeking to address outstanding invoice disputes pending from the First Surety Claim, SeaFair demanded an additional \$5,500 in document turnover fees from Respondents. (R-PFF 29; Complainant's Appendix 6). For the first time, SeaFair also asserted that Respondents were liable for \$321,533.52 to SeaFair in "destination charges" that "were paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling," stating that SeaFair was "contractually entitled to reimbursement." (R-PFF 29; Complainant's Appendix 6 at SFOB-APP-06-0009).

On October 14, 2022, SeaFair filed a Second Surety Bond Claim Letter with USFIC pursuant to 46 C.F.R. § 515.23(b) against Sterling in the amount of \$327,033.52 (the "Second Surety Claim") (SF-PFF 16; Complainant's Appendix 8), including for \$5,500 in document turnover fees and \$321,533.52 in "destination charges" "paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling." (Complainant's Appendix 8 at SFOB-APP-08-0002). Respondents responded to the Second Surety Claim in a letter to SeaFair dated November 28, 2022, wherein Respondents (i) accepted liability for the \$5,500 in document turnover fees; and (ii) rejected SeaFair's claims for \$321,533.52 that "were paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling." (R-PFF 31).

ii. FMC Litigation

SeaFair filed its Verified Initial Complaint against Respondents on December 15, 2022, purportedly alleging on the face of the pleading various violations of the Shipping Act by the Respondents and seeking reparations in the sum of \$335,953.52 (plus interest and attorneys fees). (Complaint at ¶ 32). SeaFair's initial characterization of its claimed damages included (i)

\$14,420.00 in document turnover fees owed by Respondents to SeaFair for services rendered; and (ii) \$321,533.52 that had been paid by SeaFair in “out of pocket destination charges on behalf of Respondents.” (Complaint at ¶ 15). Respondents filed their Verified Answers and Defenses on December 26, 2022. (Dkt. Doc. No. 5).

After multiple extensions during the discovery phase of this case, the discovery period closed on June 11, 2023. (*See* Dkt. Doc. No. 16). The Administrative Law Judge (“ALJ”) issued a Third Amended Scheduling Order on June 26, 2023 setting the deadlines for the filings of Complainant’s brief (July 7, 2023) and Respondents’ opposition brief (August 7, 2023). (Dkt. Doc. No. 20).

The next day, SeaFair filed a combined motion for leave to amend its complaint and to further amend the scheduling order. (Dkt. Doc. No. 21). The central correction that SeaFair sought to include in its proposed Amended Complaint was admitting that it did not actually pay any of the destination charges that it stated it had paid in its Original Complaint – rather, SeaFair sought to amend its allegations to assert that (i) it has outstanding invoices that were issued to it by non-party MSC; and (ii) those MSC invoices are still due and owing by SeaFair, and SeaFair failed in its attempts to collect these charges from the liable third-party consignees so it instead seeks contractual indemnification and prospective reimbursement from the Respondents. (Dkt. Doc. No. 21, Motion to Amend at p. 4-6).

SeaFair’s Motion to Amend was correctly denied by the ALJ, as (i) discovery had already closed, (ii) briefing was about to begin (SeaFair’s brief was due in ten days from the date of filing), and (iii) SeaFair did not explain why the motion to amend was not filed sooner, as “many of the proposed changes are, or should have been, within SeaFair’s knowledge” when it filed its

Complaint. (Dkt. Doc. No. 23, Order on Motion to Amend the Complaint and Scheduling Order, p. 1-3).

Despite the ALJ's denial of SeaFair's Motion to Amend, SeaFair has now attempted to improperly use its Opening Brief as its vehicle to amend its initial Complaint. SeaFair's current claims are focused on certain outstanding invoices issued to SeaFair by non-party MSC (SF-PFF 18; Complainant's Appendix 10), yet SeaFair has continued to make unfounded allegations of Shipping Act violations regarding the actions/inactions of the Respondents.

SeaFair's Opening Brief cites a single FMC case to support its current case and arguments against the Respondents (*Ocean Network Express (North America), Inc. and Ocean Network Express, Pte. Ltd. – Possible Violations of 36 U.S.C. 41102(c)*, 2022 WL 17811691, at *3) – but ironically, it is only used to support its assertion that non-party MSC's "invoicing and making demands on SeaFair could violate the Shipping Act." (Opening Brief, p. 13).

IV. ARGUMENT

In its Complaint and Opening Brief, SeaFair has failed to prove its claims that either of the Respondents in any way violated the Shipping Act, including its allegations regarding Respondents' purported violations of (i) 46 U.S.C. § 41102(a); (ii) 46 U.S.C. § 41104(a)(4)(A); (iii) 46 U.S.C. § 41104(a)(2)(A); or (iv) 46 U.S.C. § 41102(c). (Opening Brief, p. 16-20). Further, SeaFair has not established a right to any reparations. The damages that any complainant may be entitled to are limited by what is permitted by the Shipping Act and Commission regulations. Accordingly, each and every count of SeaFair's Complaint should be dismissed as a matter of law.

A. SeaFair's Obligation to Collect Destination Charges

The Argument Section of SeaFair's Opening Brief is largely focused on outstanding invoices issued to SeaFair by non-party MSC. (*See, e.g.*, Section III(B) "SeaFair is not responsible

for the MSC charges” and Section III(C) “SeaFair is Entitled to Indemnification Against MSC’s Charges Under Its Terms and Conditions of Service”; Opening Brief, p. 11-15). However, these arguments simply do not support a finding of Shipping Act violations on the part of the Respondents.

SeaFair readily admits that under the agreement between SeaFair and the Respondents, SeaFair was responsible for collecting certain destination charges from the consignees on the Sterling HBLs and MSC MBLs to remit the money collected to MSC. (SF-PFF 10; Opening Brief p. 15; Complainant’s Appendix 19). When SeaFair failed to properly bill and/or collect this money from the responsible consignee parties, it was purportedly invoiced to SeaFair by non-party MSC.

In support of its arguments, SeaFair states that it is not a merchant under MSC’s MBLs, because the terms and conditions define merchant to include “the Shipper, Consignee, holder of this Sea Waybill, the receiver of the Goods and any Person owning, entitled to or claiming the possession of the Goods or of this Sea Waybill or anyone acting on behalf of this Person.” (Opening Brief, p. 11-12). SeaFair then asserts that (i) “SeaFair is not the shipper or consignee,” (ii) that the MSC MBL’s identified in its Appendix 12 state the consignee is “SeaFair LLC as agent of Sterling Container Line Limited”; and (iii) that Sterling is both the “Shipper and Consignee.” (*Id.*). SeaFair then goes on to discuss a variety of federal case law interpreting agency standards. (Opening Brief, p. 12).

While not entirely relevant to its Shipping Act claims regarding the Respondents, it is worth noting that the MSC MBL’s cited by SeaFair do not quite reflect what SeaFair now pleads. SeaFair’s Appendix 12 contains twenty MSC MBLs issued between June and August of 2021. Only two of those MBLs identify the Consignee as “SeaFair USA LLC as Agent of Sterling Container Line Limited.” (*See* Appendix 12 at SFOB-APP-12-0002 and SFOB-APP-12-0021).

The remaining eighteen MBLs identified in Appendix 12 identify the Consignee as “SeaFair USA LLC.” (*Id.* at SFOB-APP-12-0040; SFOB-APP-12-0059; SFOB-APP-12-0078; SFOB-APP-12-0097; SFOB-APP-12-0116; SFOB-APP-12-0135; SFOB-APP-12-0154; SFOB-APP-12-0173; SFOB-APP-12-0192; SFOB-APP-12-0211; SFOB-APP-12-0230; SFOB-APP-12-0249; SFOB-APP-12-0268; SFOB-APP-12-0287; SFOB-APP-12-0306; SFOB-APP-12-0325; SFOB-APP-12-0344; and SFOB-APP-12-0363). Under MSC’s terms and conditions attached to those MBL’s, the identified consignee does in fact constitute a “merchant.” (SF-PFF 30).

Regardless of whether the MSC MBLs identify the consignee as “SeaFair USA LLC” or “SeaFair USA LLC as Agent of Sterling Container Line,” there is no dispute between the parties regarding the fact that SeaFair was obligated to collect certain destination charges from the third-party consignees on the Sterling HBLs. If SeaFair was having trouble collecting destination charges from the third-party consignees on Sterling’s HBLs that were liable, it could have requested assistance from the Respondents. As discussed herein, when SeaFair tried to foist certain invoices that third-party consignees were liable for on to Respondents in 2022, Respondents’ simply emailed the consignee who then proceeded to make the requested payment shortly thereafter. (R-PFF 27-28; Respondents’ Appendix 5).

SeaFair also spends a portion of its Opening Brief Argument discussing the enforceability of its online terms and conditions. (Opening Brief, p. 13-15). Respondents do not challenge that SeaFair has terms and conditions of service hyperlinked in its email correspondence. SeaFair was also bound by the Respondents’ terms and conditions as well as the terms and conditions of the Sterling HBLs and MSC MBLs to which it was a party. As will be discussed below, SeaFair’s requests for indemnification and prospective reimbursement are simply not proper for the FMC to

issue a determination on, as these are mere common law contractual issues outside of the FMC's jurisdictional authority.

B. Complainant has not Properly Asserted or Proven that Respondents Engaged in Shipping Act Violations

Under the Administrative Procedure Act ("APA") and FMC precedent, to prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Marie Carew D/b/a/Holiday Shipping v. Maersk Line A/s & John Does*, 2021 WL 9204122 at *4, 3 F.M.C.2d 170, 174 (November 2, 2021). SeaFair has failed to meet its burden of proof under each of the four counts of Shipping Act violations asserted in its Complaint and Opening Brief. Further, SeaFair has not proven any allegations that would permit recovery of reparations under FMC rules, regulations, and precedent.

i. SeaFair Failed to Prove a Claim Under 46 U.S.C. § 41102(a)

1. Legal Standard

SeaFair has failed to prove that either of the Respondents violated 46 U.S.C. § 41102(a), and instead merely recites the text of the statute to conclude that both Respondents engaged in violative conduct. (Opening Brief, p. 16). Section 41102(a) states that a "person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification . . . or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply." 46 U.S.C. § 41102(a). Proving a § 41102(a) claim requires three elements: (1) knowing and willful conduct; (2) through which, either "directly or indirectly," by means of the actions enumerated in the statute or through "any other unjust or unfair device or means;" (3) respondent obtained or attempted to obtain ocean transportation at lesser rates. *Muhammad Rana v. Michelle Franklin, D.b.a. "the Right Move,"*

Inc., 2022 WL 1744905 (F.M.C.) (May 25, 2022; Dkt. No. 19-03), at *7 (citing *OC Int'l Freight, Inc.*, FMC Docket No. 12-01, 2014 FMC LEXIS 14, at *12 (F.M.C. July 31, 2014)).

The “knowing and willful conduct” element is established if the respondent had “knowledge of the facts of the violation” and acted either intentionally or with “reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence.” *Id.* (Citing *Rose Int'l, Inc. v. Overseas Moving Network, Int'l*, FMC Docket No. 96-05, 2001 FMC LEXIS 39, at *118, *147 (FMC June 1, 2001)). Conduct is knowing and willful if it was carried out “purposely or obstinately” or with “gross recklessness, heedlessness, or a callous disregard” for the consequences or “plain indifference to the law’s requirements.” *Id.*

The second element - use of an “unjust or unfair device or means” - is essential to a § 41102(a) claim. 46 C.F.R. § 545.2. In the absence of evidence of bad faith or deceit, the FMC will not infer an “unjust or unfair device or means” from the failure of a shipper to pay ocean freight. This element is established if the respondent used false billing or misclassification, or any other “unjust device or means” to obtain ocean transportation at less than otherwise applicable rates. *Muhammad Rana v. Michelle Franklin, D.b.a. "the Right Move," Inc.*, 2022 WL 1744905 at *8 (citing *Rose Int'l, Inc. v. Overseas Moving Network, Int'l*, FMC Docket No. 96-05, 2001 WL 37115381 (F.M.C.), 2001 FMC LEXIS 39, at *102 (F.M.C. June 1, 2001)). “Fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means . . . It is such fraud or concealment that in fact makes the practice unjust or unfair. Whether an act constitutes an unfair or unjust device . . . depends on its similarity to false billing, false classification or the other prohibited conduct.” *United States v. Open Bulk Carriers*, 727 F.2d 1061, 1064 (11th Cir. 1984) (citations omitted); *see also Oc International Freight, Inc.; Omj International Freight, Inc.; and Omar Collado*, 2013 WL 9808675 (F.M.C. March 26, 2013), at *14.

The third element is then established by showing that respondent obtained or tried to obtain ocean transportation for less than other the otherwise applicable rates.

2. The Required Elements for a Finding of a § 41102(a) Violation Have Not Been Established

SeaFair’s argument that Respondents violated § 41102(a) is that (i) SeaFair and Atlantic are listed on the MSC MBL’s as agents of Sterling; (ii) Sterling is a merchant on the MSC MBLs, and merchants must pay destination charges under applicable terms and conditions; and (iii) that Respondents have knowingly and willfully obtained ocean transportation for property at less than rates or charges that would otherwise apply. (Opening Brief, p. 16). Regardless of the fact that SeaFair is actually identified as a consignee on certain MSC MBLs it cites in its Appendix 12 (R-PFF 13), SeaFair has simply not proven its § 41102(a) allegations against Respondents.

In terms of the first element required for a finding of a § 41102(a) violation, SeaFair has failed to plead or prove how Sterling or Atlantic acted either intentionally or with “reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence” to obtain ocean transportation for a property at less than rates or charges that would otherwise apply. Respondents only became aware of SeaFair’s claims to be reimbursed for destination charges when they were issued to Respondents in various invoices and demands in summer of 2022. Respondents then sought to assist SeaFair by helping contact a consignee that owed them money for destination charges. (R-PFF 27-28).

In terms of the second element required for a finding of a § 41102(a) violation, nowhere in its Complaint or Opening Brief does SeaFair allege that Respondents engaged in fraud or concealment that constitutes the use of an “unjust or unfair device or means.” There are no allegations of false billing, false classification or other prohibited conduct by Respondents. SeaFair admits that it was obligated to collect certain destination charges from third-party

consignees (SF-PFF 10; Opening Brief p. 15). When SeaFair failed to collect those charges, it was billed by non-party MSC. Neither of the Respondents are alleged to have engaged in any sort of false billing or false classification, or similar fraudulent conduct. Proving a respondent used an unjust or unfair means to obtain ocean transportation at lower rates requires evidence of fraud or concealment carried out for that purpose. *Muhammad Rana v. Michelle Franklin, D.b.a. "the Right Move," Inc.*, (F.M.C.) 2022 WL 1744905, at *12. The FMC has made a finding of an “unjust or unfair device or means” under this element in prior cases where the respondent was found to have created shell corporations to evade the Shipping Act (*see Rose International, Inc. v. Overseas Moving Network International, Ltd., Et Al.*, (F.M.C.) 2001 WL 37115381, at *70) or where the respondent used false and deceptive bank account information to avoid creditors (*see Muhammad Rana , v. Michelle Franklin, D.b.a. "the Right Move," Inc.*, (F.M.C.) 2022 WL 1744905, at *12-13). However, a good-faith refusal to pay disputed charges alone does not rise to the level of fraud or concealment. *See Capitol Transportation, Inc. v. United States*, 612 F.2d 1312, 1323 (1st Cir. 1979).

If anyone can be accused of concealment, it would be SeaFair – as it stated in both its Second Surety Claim and Complaint that Respondents were liable for \$321,533.52 to SeaFair in destination charges that had already been paid by SeaFair on behalf of Atlantic and/or Sterling (*see, e.g.*, Complainant’s Appendix 8 at SFOB-APP-08-0002; Complaint at ¶ 15 and ¶ 32) – when in fact SeaFair was seeking indemnification for actively outstanding invoices to non-party MSC (a fact that was not brought up in this litigation until SeaFair unsuccessfully sought to amend its Complaint and when it filed its Opening Brief).

In sum, SeaFair has failed to show by a preponderance of the evidence that either Sterling or Atlantic engaged in knowing and willful conduct, through which, either directly or indirectly,

by means of the actions enumerated in the statute or through any other unjust or unfair device or means obtained or attempted to obtain ocean transportation at lesser rates. Instead, SeaFair merely restates the Shipping Act statute and notes that Sterling was a merchant under certain MSC MBLs, and therefore by “not settling the MSC charges” Respondents knowingly and willfully obtained ocean transportation for property at less than rates or charges that would otherwise apply. The ALJ should accordingly dismiss SeaFair’s claims that Respondents violated § 41102(a).

ii. SeaFair Failed to Prove a Claim Under 46 U.S.C. § 41104(a)(2)(A) or § 41104(a)(4)(A)

1. Legal Standard

Section 41104 governs operations by common carriers. SeaFair alleges that Respondents have violated 46 U.S.C. §41104(a)(2)(A) and 46 U.S.C. §41104(a)(4)(A). 46 U.S.C. §41104(a)(2)(A) provides that “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not...provide service in the liner trade that is...not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under...this title.” 46 U.S.C. § 41104(a)(4)(A) provides that “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not...for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of ... rates or charges.”

Notably, the provisions of 46 U.S.C. §41104(a) are not intended to impose FMC jurisdiction over alleged violations that are substantially contract claims.

For example, in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 2000 WL 1648961, at *14, 28 S.R.R. 1635, 1645 (F.M.C. 2000), in reviewing allegations made under 46 U.S.C. 41104(a)(2), the court noted that “as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the

presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.” It went on to dismiss claims brought under 46 U.S.C. 41104(a)(2) that were “substantially contract law claims” as such claims were “premised on the obligation to meet one’s contract commitments, and are therefore essentially breach of contract actions which section 8(c) renders not properly before the Commission in the absence of evidence offered by complainant (as the party bearing the burden of proof) that some extraordinary aspects of the allegation distinguish it substantially from a breach claim.” *Id.* at *15.

The FMC does not have the authority to hear a complainant’s claims alleging failure to maintain contractual obligations or breach of contract. *Earlean Edwards Dukart v. Ocean Star International Inc., D/b/a International Van Lines*, (F.M.C.) 2020 WL 13512914, at *8, 2 F.M.C.2d 118, 126. “[The] Commission does not exercise the authority of a court of law or of equity. We administer and enforce the requirements of the Shipping Act and related Acts. When pleadings come before us in which violations of the Act are heavily veiled in common law pleadings it becomes difficult to distill the activities alleged to be in violation of the Act from those which indicate the possible violations of some common law obligation.” *Id.* (Citing *European Trade Specialists, Inc. v. Prudential-Grace Lines, Inc.*, 19 F.M.C. 148, 151 (F.M.C. 1976)). The Shipping Act prevents the FMC from “hearing those claims, which although couched in terms of alleged violations of the 1984 Act, seek remedies that would otherwise be available in a breach of contract action if the matter were brought before a court.” *Western Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 884 (F.M.C. 1994).

2. The Required Elements for a Finding of a § 41104(a) Violation Have Not Been Established

SeaFair has failed to establish that either of the Respondents have engaged in conduct that constitutes a violation of 46 U.S.C. § 41104(a)(4)(A) or § 41104(a)(2)(A). Rather, it has attempted to improperly couch common law contract claims under alleged violations of Shipping Act.

SeaFair's argument that Respondents violated 46 U.S.C. § 41104(a)(4)(A) is as follows: "By not settling the MSC charges and not billing its customers for corresponding charges, Sterling and Atlantic have provided services to their non-paying customers at rates or charges lower than to customers who did pay destination charges." (Opening Brief, p. 18). SeaFair's assertion in its original Complaint was that Respondents violated § 41104(a)(4)(A) when they knowingly and willfully withheld payment to SeaFair "for monies advanced by SeaFair on behalf of Respondents." (Complaint ¶ 22). Similarly, SeaFair's argument that Respondents violated 46 U.S.C. § 41104(a)(2)(A) states that by "not settling the MSC charges and not billing its customers for corresponding charges, Sterling and Atlantic have provided services to their customers at rates or charges lower than Sterling's tariff." (Opening Brief, p. 18-19).

SeaFair is seeking contractual indemnification for certain invoices that have been issued to it by non-party MSC. The invoices relate to destination charges SeaFair was obliged to collect from third-party consignees and their agents on various Sterling HBLs. SeaFair now seeks an Order from the FMC mandating Respondents to indemnify and/or prospectively reimburse SeaFair under SeaFair's terms and conditions of service. (*See, e.g.*, Opening Brief, p. 13-14, p. 21). Under Respondents' terms and conditions, all costs after arrival of the vessel on the shipments handled by SeaFair "are for account of the consignee," and the Respondents are not the consignees on the Sterling HBLs (R-PFF 15; Respondents' Appendix 1; Complainant's Appendix 13).

The FMC is simply not the proper forum for adjudicating a contract dispute, even when couched in terms of alleged Shipping Act violations. (*See, e.g., Western Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 884 (FMC 1994)). SeaFair’s remaining claims boil down to a contract dispute regarding ultimate liability and responsibility for the non-party MSC invoices issued to SeaFair for destination charges SeaFair should have collected from third-party consignees on Sterling HBLs and MSC MBLs. SeaFair alleges that Respondents breached SeaFair’s terms and conditions by failing to indemnify SeaFair from MSC’s invoices. (Opening Brief, p. 13-14). This is essentially a breach of contract claim, which is not proper before the FMC “in the absence of evidence offered by complainant (as the party bearing the burden of proof) that some extraordinary aspects of the allegation distinguish it substantially from a breach claim.” *Cargo One, Inc. v. Cosco Container Lines Company, Ltd.*, 2000 WL 1648961, at *15. No such “extraordinary aspects” have been alleged or even pled by SeaFair to distinguish its Shipping Act claims against Respondents from a breach of contract claim.

In terms of SeaFair’s allegations regarding § 41104(a)(2)(A), SeaFair has not shown that Sterling (or Atlantic) provided service in the liner trade which deviated from its published tariff. Respondents have no way to know which destination charge invoices were in fact paid by third-party consignees directly to SeaFair or directly to MSC, as the Respondents (as foreign entities) engaged SeaFair to perform those destination services in the U.S. and their oversight into SeaFair’s billing practices was limited. Instead, SeaFair has sought to stretch allegations regarding Sterling and Atlantic’s inherent contractual obligations under the guise of a § 41104(a)(2)(A) violation.

In terms of SeaFair’s allegations regarding § 41104(a)(4)(A), SeaFair has not shown that either of the Respondents engaged in any unfair or unjustly discriminatory practice in the matter of rates or charges. SeaFair states that Respondents’ “non-collection of destination charges

is....unfair and unjustly discriminatory” because Respondents have “provided services to their non-paying customers at rates or charges lower than to customer who did pay destination charges.” (Opening Brief, p. 18). Again, SeaFair’s original Complaint alleged Respondents violated § 41104(a)(4)(A) when they knowingly and willfully withheld payment to SeaFair “for monies advanced by SeaFair on behalf of Respondents.” (Complaint ¶ 22). But as SeaFair now admits, it did not advance any money on behalf the Respondents as it originally claimed – rather, SeaFair failed to collect destination charges from third-party consignees, and now seeks contractual indemnification from Respondents. However, FMC precedent makes it clear that the FMC is not the proper forum for such a claim. Further, Respondents’ purported “non-collection” of destination charges cannot be considered unfair or unjustly discriminatory – SeaFair has provided an Appendix of nearly 660 pages of invoices that SeaFair allegedly issued to third-party consignees on Sterling HBLs (Complainant’s Appendix 19), and does not identify which of these have already been paid by the third-party consignees, which invoices were paid directly to MSC, or how Respondents can be deemed to have engaged in a Shipping Act violation under § 41104(a)(4)(A) for their non-collection of destination charges that SeaFair admits and has shown were its own responsibility to collect.

Accordingly, SeaFair has failed to show that either of the Respondents engaged in conduct that violated either 46 U.S.C. § 41104(a)(4)(A) or § 41104(a)(2)(A), and these claims should be dismissed.

iii. SeaFair Failed to Prove a Claim Under 46 U.S.C. § 41102(c)

1. Legal Standard

46 U.S.C. § 41102(c) provides that “a common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable

regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” Under the FMC’s 2018 Interpretive Rule on Unjust and Unreasonable Practices (“Interpretive Rule,”) 46 C.F.R. 545.4, a complainant must prove four elements to establish a violation of 46 U.S.C. § 41102(c), and also a fifth element if it seeks an award of reparations. In particular, to sustain a claim under 46 U.S.C. § 41102(c), a complainant must prove:

- (a) that respondent is a common carrier, marine terminal operator, or ocean transportation intermediary under the Shipping Act;
- (b) that the claimed acts or omissions of respondent are occurring on a normal, customary, and continuous basis;
- (c) that the practice or regulation is connected with receiving, handling, storing, or delivering property; and
- (d) that the practice or regulation is unjust or unreasonable.

To obtain reparations for any such violation, a complainant must further demonstrate that the challenged practice or regulation is the proximate cause of the claimed loss. (Final Rule, Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (December 17, 2018)).

2. The Required Elements for a Finding of a § 41102(c) Violation Have Not Been Established

SeaFair has failed to establish four of the five the required elements of a § 41102(c) Shipping Act violation by either of the Respondents, although its allegations focus on Sterling’s purported violations of § 41102(c). Respondents concede that Sterling is a common carrier under the Shipping Act. However, the remaining allegations do not present or evidence a plausible claim for relief against Sterling.

SeaFair alleges that Sterling utilized SeaFair’s services for document and destination services, yet “has repeatedly refused to compensate SeaFair for document turnover” fees and

“indemnify SeaFair in accordance with” SeaFair’s terms and conditions. (Opening Brief, p. 19). SeaFair goes on to state that Sterling’s “continual refusal to recover from the merchants is an unjust and unreasonable practice connected with the delivery of property” and that Sterling’s “refusal to compensate and indemnify SeaFair for services rendered is an unjust and unreasonable practice connected with the handling and delivery of property” that has occurred on a “normal, customary, and continuous basis.” (*Id.* at p. 19-20).

As a threshold matter, Sterling has never “refused” to compensate SeaFair for document turnover fees. Upon consideration of a valid demand issued by SeaFair in its March 1, 2022 First Surety Claim, Respondents made a payment to SeaFair one week later in the March 9 Payment for all document turnover fees it deemed to be due and owing. (R-PFF 22). The subsequent negotiations over the First Surety Claim concerned a good-faith dispute by Sterling due to the fact that (i) SeaFair had incorrectly asserted certain invoices were the Respondents’ liability as opposed to the liable third-party consignees that SeaFair failed to collect from; and (ii) SeaFair continued to present certain document turnover fees as due and owing throughout the summer of 2022 when they had in fact been made by Respondents in the March 9 Payment (or other prior payments). (R-PFF 26-27). When presented with a second demand by SeaFair for \$5,500 in separate document turnover fees in the Second Surety Claim, Sterling responded by affirmatively confirming the accuracy of Sterling’s demand for document turnover fees, while disputing the accuracy of the accompanying destination charges that were alleged. (R-PFF 31). Accepting liability for and making payments to SeaFair for its requested document turnover fees in the two instances in 2022 SeaFair made demands simply does not constitute an unjust and unreasonable practice that occurred on a normal, customary, and continuous basis.

The FMC’s 2018 Interpretive Rule makes it clear that the requirement of a “normal, customary, and continuous basis” is not to be taken lightly, noting that “[t]o find a violation of § 41102(c), the Commission consistently required that the unreasonable regulation or practice was the *normal, customary, often repeated, systematic, uniform, habitual, and continuous manner* in which the regulated common carrier was conducting business.” (Emphasis added). (Final Rule, Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (December 17, 2018)). The FMC cases cited by the Commission in establishing the Interpretive Rule confirm this point. For example, in *Stockton Elevators*, 3 S.R.R. 605, 618 (FMC 1964), the Commission held that certain shipping-related actions taken in six instances could not be considered a “practice,” stating that the “essence of a practice is uniformity...[i]t is something habitually performed and it implies continuity...the usual course of conduct. It is not an occasional transaction such as here shown.”

Sterling’s payment of SeaFair’s document turnover fees in March 2022 and subsequent good-faith negotiations regarding the accuracy of SeaFair’s outstanding invoices do not constitute an “unjust and unreasonable practice” (or any practice at all), and certainly not one that has occurred on a normal, customary and continuous basis.

SeaFair’s allegation that Sterling’s “continual refusal to recover from the merchants” constitutes a § 41102(c) violation cannot withstand scrutiny either. SeaFair never asked Respondents to help recover destination charges that were owed by third-party consignees on Sterling’s HBLs. Instead, after failing to collect certain charges and being invoiced by non-party MSC, SeaFair made demands months later in its Second Surety Claim and subsequent FMC Complaint alleging that Respondents were liable for \$321,533.52 to SeaFair in destination charges that SeaFair stated *it had already paid* on behalf of Atlantic and/or Sterling (*see, e.g.,* Complainant’s Appendix 8 at SFOB-APP-08-0002; Complaint at ¶ 15 and ¶ 32). SeaFair now

seeks contractual indemnification from Respondents for outstanding MSC invoices that were not presented in SeaFair's Complaint or as part of its Second Surety Claim.

SeaFair has therefore failed to prove how Sterling's actions/inactions with respect to these non-party MSC invoices constitute a "practice" by Sterling, nor how any such practice or regulation is unjust or unreasonable. SeaFair has also failed to prove that Sterling's lack of prospective indemnification and reimbursement for invoices SeaFair purportedly owes MSC has occurred on a normal, customary, and continuous basis. Instead, SeaFair points to its terms and conditions and requests indemnification from Sterling – a pure common law contract allegation for which the FMC lacks subject matter jurisdiction. (*see, e.g., Earlean Edwards Dukart*, (F.M.C.) 2020 WL 13512914, at *8, 2 F.M.C.2d 118, 126; *see also Western Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 884 (FMC 1994)).

It is SeaFair who has appeared to continuously fail to invoice and collect these charges from third-party consignees on Sterling's HBL's – which again, SeaFair claims was its responsibility as Respondents' destination agent in the first place and is evidenced by the SeaFair invoices to third-party consignees it produced in Complainant's Appendix 19. (SF-PFF 10; Opening Brief p. 15).

Accordingly, SeaFair's claim that Sterling (or Respondents) have violated § 41102(c) (or 46 C.F.R. 545.4) should be dismissed, as SeaFair has not proven each of the elements required for a valid finding of such a violation. SeaFair has not shown that the claimed acts or omissions of Respondents are occurring on a normal, customary, and continuous basis; SeaFair has not shown that the acts or omissions were a practice or regulation that is connected with receiving, handling, storing, or delivering property; SeaFair has not shown that such a practice or regulation is unjust or unreasonable; and SeaFair does not demonstrate proximate cause to its claimed loss.

C. SeaFair’s Request for a Cease and Desist Order Should be Denied, as SeaFair Failed to Assert or Prove that Respondents Engaged in Shipping Act Violations

SeaFair’s Complaint and Opening Brief both contain a request for relief that includes a “cease and desist” order commanding that Respondents cease from engaging in practices that violate the Shipping Act under 46 U.S.C. § 41102(a); 46 U.S.C. § 41104(a)(4)(A); 46 U.S.C. § 41104(a)(2)(A); and 46 U.S.C. § 41102(c). (Complaint at ¶ 32; Opening Brief at p. 20-21). The imposition of a cease and desist order normally requires a showing that unlawful conduct is ongoing or likely to resume. *See Alex Parsina d/b/a Pac. Int’l Shipping and Cargo Express*, 27 S.R.R. 1335, 1342 (ALJ 1997) (“a cease and desist order is appropriate when the record shows that there is a likelihood that offenses will continue absent the order and when the record discloses persistent offenses”); and *Portman Square Ltd. - Possible Violations of Section 10 (a)(j) of the Shipping Act of 1984*, 28 S.R.R. 80, 86 (ALJ 1998) (“the general rule is that [cease and desist] orders are appropriate when there is a reasonable likelihood that respondents will resume their unlawful activities”). However, as shown herein, SeaFair has failed to assert or prove that either of the Respondents violated any provisions of the Shipping Act as alleged (including 46 U.S.C. § 41102(a); 46 U.S.C. § 41104(a)(4)(A); 46 U.S.C. § 41104(a)(2)(A); and 46 U.S.C. § 41102(c)), and Respondents are not (and have not been) engaging in any unlawful activity (including under the Shipping Act) – therefore any proposed cease and desist relief is not warranted.

D. SeaFair’s Only Non-Abandoned Injury Claim is Moot; and SeaFair has Failed to Prove Proximate Cause for Its Requested Reparations

Respondents made a payment for outstanding document turnover fees believed to be owed to SeaFair on August 28, 2023 (in the amount of \$14,420.00). (Respondents’ Appendix 12 at RX-APP-12-001). Respondents had previously withheld these payments because (i) it had maintained good-faith disputes regarding the accuracy of such invoices, which were communicated to SeaFair

throughout 2022 (R-PFF 23-28); and (ii) SeaFair brought surety claims and an FMC Complaint against Respondents seeking much more than what was actually owed by Respondents. Regardless of Respondents' concerns that certain shipments that SeaFair identified as resulting in a \$55 documentation fee were in fact terminated shipments that had not actually occurred, Respondents still effected the requested payment on August 28, 2023 (which SeaFair has characterized in different filings as resulting from 162 shipments (SF-PFF 12) and 172 shipments (Opening Brief at p. 20)). Notwithstanding the fact that 162 shipments at \$55 per bill of lading would total \$8,910 and 172 shipments would total \$9,460, Respondents made a good faith payment of \$14,420 for the entire set of requested document turnover fees to SeaFair on August 28, 2023. However, the effectuation of this payment was in no way tied to perceived Shipping Act violations on the part of Respondents, it was a simple business obligation evidenced by course of dealing - and the delay in payment was only due to Respondents' lack of clarity with respect to the accuracy and integrity of SeaFair's invoices.

Irrespective of Respondents' payment to SeaFair, SeaFair failed to meet its burden of proving that any reparations or damages should be awarded by the FMC. Complainants bear the burden of proving that they are entitled to reparations. *Yakov Kobel v. Hapag-Lloyd A.G.*, FMC No. 10-06, 2014 WL 5316331, at *2 (FMC July 30, 2014). A complainant seeking reparations must prove that such damages are "the proximate result of violations of the statute." *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, No. 16-16, 2022 WL 2209421, at *3 (F.M.C. June 10, 2022) (citing *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, No. 94-32, 2003 WL 22067203, at *7-8 (FMC Aug. 26, 2003)). "Establishing a Shipping Act violation alone does not justify reparations -- complainants must also show that they sustained a pecuniary loss as a result of the unlawful act." *Id.* Reparations will only be awarded based on actual

damages, and actual damages means “compensation for the actual loss or injuries sustained by reason of the wrongdoing” which complainants must show to a reasonable degree of certainty. *Id.* (citing *Cal. Shipping Line, Inc. v. Yangming Marine Transport Corp.*, FMC No. 88-15, 1990 WL 427466, at *23 (FMC Oct. 19, 1990)).

As shown herein, SeaFair has failed to even meet its initial burden of proving a violation of the Shipping Act has occurred by Respondents. Even so, in light of the fact that the ALJ expressly stated that the parties should address the Commission’s requirements for reparations in their briefings (Dkt. Doc. No. 23, Order on Motion to Amend the Complaint and Scheduling Order, p. 3) – which SeaFair did not do (beyond noting that the “legal fees incurred by SeaFair constitute actual injury, entitling SeaFair to reparations” (Opening Brief, p. 20)) – Respondents will also address the fact that SeaFair has failed to demonstrate proximate cause in connection with its requested reparations.

SeaFair’s original Complaint sought reparations in the sum of \$335,953.52 (plus interest and attorneys fees) (Complaint at ¶ 32), including (i) \$14,420.00 in document turnover fees owed by Respondents to SeaFair for services rendered; and (ii) \$321,533.52 that SeaFair purportedly paid in “out of pocket destination charges on behalf of Respondents.” (Complaint at ¶ 15). SeaFair’s Opening Brief requests that the FMC “order Respondents to settle the MSC charges directly with MSC or through paying SeaFair” and “order Respondents to pay to SeaFair reparations....in the sum of not less than \$14,420.00, with interest and attorney’s fees incurred in correcting the invoices subject to the first claim and second claim, as provided for under 46 U.S.C. § 41305(b).” (Opening Brief, p. 21).

Section 41305(b) provides that the Commission “shall direct the payment of reparations to the complainant for actual injury caused” by a Shipping Act violation. Accordingly, in its Opening

Brief SeaFair was forced to abandon its original claim seeking \$321,533.52 that SeaFair purportedly paid in “out of pocket destination charges on behalf of Respondents” because (i) it was not true, and (ii) there was no “actual injury” or “actual damages” to SeaFair associated with destination charges.

Instead, SeaFair now states in its Opening Brief that its damages are \$294,283.88 in unpaid destination charges that SeaFair has been invoiced by non-party MSC, and requests that the FMC order Respondents to settle this amount or alternatively pay SeaFair this amount. Simply put, this request for contractual indemnification (Opening Brief, p. 20-21) and/or prospective reimbursement is not the type of claim for relief that the FMC considers to constitute actual damages (or a justiciable Shipping Act claim) to warrant an appropriate order for reparations for 46 U.S.C. § 41305(b). And even if it was, SeaFair has not shown (or even pled) that the alleged Shipping Act violations on the part of the Respondents were the proximate cause of those damages – as SeaFair has failed to plead or prove (i) any of the three elements required for a finding of a 46 U.S.C. § 41102(a) violation by either of the Respondents; (ii) that Respondents have engaged in conduct that constitutes a violation of 46 U.S.C. § 41104(a)(4)(A) or § 41104(a)(2)(A); and (iii) four of the five elements required for a finding of a 46 U.S.C. § 41102(c) violation warranting reparations from either of the Respondents.

With respect to the claimed damages for document turnover fees, these stem from an obligation established through course of dealing whereby Respondents would pay SeaFair \$55 per shipment it handled on behalf of Respondents. While Respondents have since paid SeaFair for the claimed document turnover fee invoices (despite maintaining concerns about their accuracy), in no way were the document turnover fees alleged or proven to be proximately caused by Shipping Act violations under 46 U.S.C. § 41102(a), 46 U.S.C. § 41104(a)(4)(A), 46 U.S.C. §

41104(a)(2)(A), or 46 U.S.C. § 41102(c). Accordingly, SeaFair’s request for reparations must be denied as a matter of law, as SeaFair has not shown with a reasonable degree of certainty that any of its claimed damages were caused by Shipping Act violations on the part of the Respondents. In fact, SeaFair’s discussion of its “actual injury” in its Opening Brief does not even once reference any of the four counts of Shipping Act violations alleged against Respondents or how those alleged violations caused SeaFair’s claimed injuries. (Opening Brief, p. 20).

Finally, in cases involving requests for reparations, the FMC also requires that a complainant must seek to mitigate its damages. *Yakov Kobel v. Hapag-Lloyd A.G.*, FMC No. 10-06, 2014 WL 5316331, at *12 (FMC July 30, 2014). SeaFair’s breach of contract claims and requests for contractual indemnification from the Respondents arose from its own disorganized billing practices with third-party consignees and its outstanding invoices from non-party MSC. To Respondents’ knowledge, SeaFair has not sought to mitigate its damages either by following up with the third-party consignees or by working with MSC (or the Respondents) to correctly bill the liable third-party consignees. As discussed elsewhere herein, when Respondents inquired with a third-party consignee about the status of an outstanding SeaFair invoice in August 2022, the consignee immediately proceeded to make the payment to SeaFair. (R-PFF 27-28). If SeaFair simply sought Respondents’ assistance with other claims against liable third-party consignees instead of filing surety claims and a formal FMC complaint against Respondents, it certainly could have mitigated the damages that are being claimed in the instant action. (“[A] party who has been wronged by a breach of contract may not unreasonably sit idly by and allow damages to accumulate. Such damages are not proximately caused by the breach.” *Yakov Kobel v. Hapag-Lloyd A.G.*, FMC No. 10-06, 2014 WL 5316331, at *13 (FMC July 30, 2014)). Instead, SeaFair

would like the FMC to order Respondents to act as its debt collector - which is far outside the jurisdictional scope of relief the FMC is authorized to issue.

E. SeaFair Should Not be Permitted to Assert New Arguments or Claims in its Reply Brief to Address the Deficiencies in its Pleadings

As a final note, in light of SeaFair's prior failed attempts to amend its Complaint and subsequent attempts to do so in its Opening Brief, Respondents prospectively highlight that SeaFair should not be permitted to assert new arguments in its Reply Brief to address the clear deficiencies in its pleadings. (*See, e.g., Lisa M. v. Kijakazi*, 2021 WL 4804073, at *6 (N.D. Ill. Oct. 14, 2021) ("Arguments raised for the first time in a reply brief are waived. It is a forbidden tactic that is everywhere disallowed. The doctrine is deemed necessary to prevent 'sandbagging.'"); *see also Ner Tamid Congregation of N. Town v. Krivoruchko*, 620 F. Supp. 2d 924, 929 (N.D. Ill. 2009), as amended (June 10, 2009) ("[R]eply briefs are for replying, not for raising new matters or arguments that could and ought to have been advanced in the opening brief.")).

FMC rules of procedure require that opening or initial briefs raise arguments "based upon principles of law with appropriate citations of the authorities relied upon." 46 C.F.R. §502.214(c). Again, SeaFair's initial brief fails to cite a single FMC case or related precedent related to its arguments that Respondents violated the Shipping Act. It should not be allowed to cure these deficiencies by raising new arguments in its reply brief. (*See, e.g., California Sportfishing Prot. All. v. Pac. States Indus., Inc.*, No. 15-CV-01482-JD, 2015 WL 5569073, at *2 (N.D. Cal. Sept. 22, 2015) ("Raising new arguments in a reply brief is classic sandbagging, and the Court will not tolerate it."); *ABN AMRO VERZEKERINGEN BV v. Geologistics Ams., Inc.*, 485 F.3d 85, 97, n. 12 (2d Cir. 2007) ("We decline to consider an argument raised for the first time in a reply brief."); *Clubside, Inc. v. Valentin*, 468 F.3d 144, 160, n. 5 (2d Cir. 2006) ("...we generally do not consider

arguments that are raised for the first time in a reply brief”); *Davenport v. Wendy's Co.*, No. 2:14-CV-00931 JAM, 2014 WL 3735611, at *3 (E.D. Cal. July 28, 2014) (“It is well-established that a party may not raise a new argument in its reply brief.”)).

V. CONCLUSION

For the reasons identified herein, Complainant has failed to show that either of the Respondents violated any provisions of the Shipping Act as alleged (including 46 U.S.C. § 41102(a); 46 U.S.C. § 41104(a)(4)(A); 46 U.S.C. § 41104(a)(2)(A); and 46 U.S.C. § 41102(c) (or 46 C.F.R. 545.4)), and accordingly no civil penalty under 46 U.S.C. § 41107 or reparations under 46 U.S.C. § 41305(b) should be imposed on the Respondents by the FMC. SeaFair’s Complaint and associated claims, even as amended by its Opening Brief, should be dismissed with prejudice – as (i) SeaFair’s 46 U.S.C. § 41104(a) claims are barred by lack of subject matter jurisdiction; (ii) SeaFair has failed to state a claim or meet its burden of proof for any of the four counts of alleged Shipping Act violations; and (iii) SeaFair has not met its burden with respect to proving that any reparations or damages should be awarded by the FMC. While attorney fee petitions are not to be filed until the decision in this case becomes final (46 C.F.R. § 502.254(c)), Respondents reserve all rights to seek reasonable attorney fees at the conclusion of the instant matter in the event Respondents are the prevailing parties.

Date: August 28, 2023

Respectfully Submitted,

/s/ Ashley K. Kelley

Ashley K. Kelley, Esq.

(SC #78013; US District Court for the
District of South Carolina #10369)

Womble Bond Dickinson (US) LLP

5 Exchange Street

PO Box 999 (29402)

Charleston, SC 29401

Direct Dial: (843) 720-4679

Email: Ashley.Kelley@wbd-us.com

Julius H. Bodie, Esq.

(D.C. Bar # 1601620; CA Bar # 318048)

Womble Bond Dickinson (US) LLP

2001 K Street, NW

Suite 400 South

Washington D.C. 20006

Direct Dial: (202) 857-4552

Email: Julius.Bodie@wbd-us.com

*Counsel for Atlantic Forwarding Ltd. and Sterling
Container Line Limited*

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 28th day of August 2023, the foregoing Respondents' Opposition Brief was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Erin M. Wirth
Chief Administrative Law Judge
Presiding Administrative Law Judge
judges@fmc.gov

Complainant
SEAFair USA LLC
C/O LIANG + MOONEY, PLLC
Shanshan Liang, Esq.
sliang@customscourt.com
Counsel for SeaFair USA LLC

/s/ Ashley K. Kelley
Ashley K. Kelley, Esq.